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Horizon Robotics (9660.HK)

Expect >65% 1H GPM; 3 Catalysts on mean re-version

CITI'S TAKE

Horizon Robotics released its [1H26 profit warning](#), with 1H26 profit turned positive to Rmb3,500-4,000mn (from 1H25 loss of Rmb5,233mn) driven by fair value fluctuations of convertible loans issued to CARIAD (JV with Volkswagen). **Citi's view on 1H26 results: (1) Revenue:** We expect 1H26 operating revenue to hit guidance upper-range at >34% YoY given its market share gain amid rollout of full-scenario NOA solutions. **(2) 1H26 GPM** should hit upper-range at 65-66% due to blended ASP increase from market share/mix gain, as well as cost reduction due to 7nm chips' controllable environments. **(3) 1H26 adjusted net loss** ~Rmb1,500mn considering fair value reversal of convertible loans. **(4)** We believe Horizon to maintain FY26 revenue growth target at +50% YoY, implying 2H26 revenue to accelerate from 1H26's +34% YoY, supported by 6-7 Volkswagen models launch, wallet share gain within BYD God's Eye B, new orders from Chery and seasonal demand recovery from August.

Catalysts: **(1)** We expect Horizon may announce **L3/L4 cooperation plan with major global auto makers**, which may generate **billions of RMB IP income in the next 3 years with 95% GPM**. **(2)** We expect Horizon to further **expand its market share** via penetrating into BYD God's Eye C (wallet share hiking to 90-100%) and Eye B solutions (wallet share also to rise) in 2H26—we recognize a major reason for Horizon Robotics' previous share price decline was due to investors' concerns on its wallet shares within BYD. **(3) NVIDIA's hardware market share loss** in China ADAS market would potentially harm its platform-related software makers, which could improve Horizon Robotics competitiveness.

Valuation—Compare with Mobileye: Horizon Robotics current market cap is at HK\$64.8bn (US\$8.3bn) with share price of HK\$4.45. Given we expect ADAS to see strong ramp-up stage before 2030E, we value Horizon by applying 2030E P/E to factor in its terminal net profit. By assigning 30x 2030E P/E and discounting it back on 11% WACC, we derive our target price of HK\$12.3 (HK\$179.8bn market cap). The market cap of Horizon Robotics now (US\$8.3bn) is close to Mobileye at US\$7.5bn (while Mobileye has no AD, but only has ADAS); we believe the market has not factored in Horizon Robotics' autonomous driving (AD) business, as well as its market share gain results, and 2H26 China EV growth seasonality and the 3 catalysts we mentioned above.

1H26 core operational metrics based on announcement: **(1) Operating revenue** grew 24.8%-34.5% YoY to Rmb1,930-2,080mn; **(2) Gross profit** expanded 13.7%-34.3% YoY to Rmb1,160-1,370mn with gross margin at 60%-66% range; **(3) Adjusted net loss** widened by 5.1%-27.6% YoY to Rmb1,400-1,700mn. Mgmt.

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

Buy / High Risk

Price (21 Jul 26 16:10)	HK\$4.45
Target price	HK\$12.30
Expected share price return	176.4%
Expected dividend yield	0.0%
Expected total return	176.4%
Market Cap	HK\$64,844M US\$8,268M

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highlighted two major growth pillars in 1H26: mass rollout of full-scenario NOA solutions and rising licensing income from its underlying chip and foundational AI model stack.

Horizon Robotics

Valuation

Given we expect ADAS to see strong ramp-up stage in 2025–30E, we value Horizon by applying 2030E P/E to factor in its terminal net profit. By assuming (1) 2030E 100% L2+ ADAS penetration in China PV market and 45% market share of Horizon Robotics in L2+ ADAS field backed by its leading position in domestic ADAS chip supply, (2) blended ASP of USD254, (3) stable growth of licenses & service revenue, (4) NPM of 30.6%, we forecast Horizon's 2030E NP at Rmb8.86bn. By assigning 30x 2030E P/E (similar to the non-weighted avg 2026E P/E of MBLV/NVDA/TXN) and discounting it back on 11% WACC, we derive our target price of HK\$12.3, equivalent to 26.5x/15.9x/9.8x 2026/27/28E P/S.

Risks

We rate Horizon Robotics High Risk given its limited operating history and current loss-making status. Key downside risks that could impede the shares from reaching our target price include: (1) limited operating history; (2) uncertain R&D outcomes; (3) competition and regulatory risk; (4) risk on supply chain dependency; (5) customer concentration risk; (6) geopolitical and compliance risks; and (7) market adoption uncertainty.

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Appendix A-1

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Horizon Robotics (9660.HK)

Ratings and Target Price History Fundamental Research

Analyst: Jeff Chung



Date	Rating	Target Price	Closing Price
16-Dec-24 09:30:44	*1H	*4.60	3.66
06-Feb-25 04:51:31	*2H	*6.00	5.47
25-Feb-25 10:16:34	*1H	*12.30	9.28

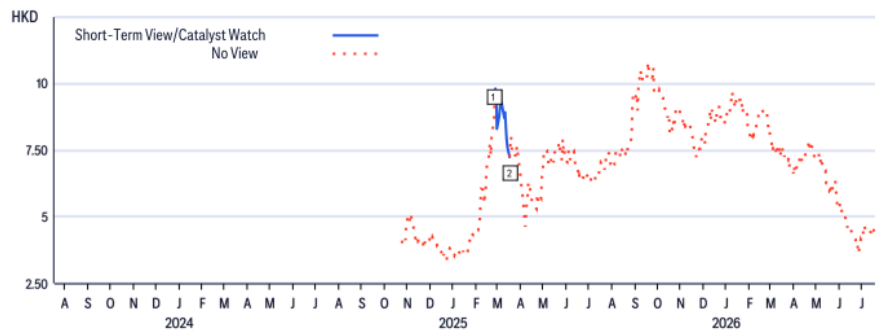
*Indicates Change

Rating/target price changes above reflect Eastern Time

Horizon Robotics (9660.HK)

Short-Term View/Catalyst Watch Research

Analyst: Jeff Chung



Date	Action	Expected Direction	Duration	Closing Price
25-Feb-25 05:16:34	Add CW	Upside	90 Days	9.28
17-Mar-25 04:12:47	Remove CW	Upside	90 Days	7.24

CW - Catalyst Watch, STV - Short-Term View

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
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% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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